

Economic Complexity Homework 3

Remittances are one of the most important and stable sources of external income for developing nations (World Bank, 2023), and although explored in terms of household consumption, its effects on long-term structural transformation is underresearched. Remittances often follow small-world network patterns within the home country, with clusters being connected through migrant/diaspora ties (Orozco & Welle, 2004). Thus, understanding if remittances strengthen small-world network structures or if they reinforce overdiversity or overconcentration is crucial to determine their impact on economic complexity and sustainable development policy.

Research has revealed that, in Latin America, remittance flows are large and stable enough to greatly affect household consumption, poverty, inequality, and financial inclusion (Beaton et al., 2017). Research also distinguishes between remittances to family and collective remittances to organizations, communities, infrastructure and more (Orozco & Welle, 2004). In addition, some research looks at the problem from a network perspective - for example, Fagiolo and Mastrorillo's "Migration and trade: A complex-network approach" describes the strong correlation between migration and trade networks. In policy, Mexico has implemented a 3x1 program in which, "...the Mexican local, state and federal government matches HTAs' collective remittances to improve public services through cross-border public-private partnerships." (Duquette-Rury, 2015)

However, research and policy about the subject leaves several gaps, the first being how collective remittances translate to long-term structural transformation. Another is that there are not many network mappings of remittance flows and productivity of home country economies. Additionally, not much research exists on how remittance networks interact with economic complexity indices for specific countries in Latin America. So, the question is: how do small-world remittance networks from migrant workers affect the clustering and dispersion of productive capabilities, and thus economic complexity, in Latin American economies?

Key stakeholders in answering this question would include home-country policymakers and governments who would benefit from the policy suggestions that come from a long-term perspective on how to invest and diversify remittance flows for economic stability. Leaders and governments in high-migration areas would also benefit; since they deal directly with migrants, they could build stronger partnerships with migrant networks and help with development that aligns with goals of international competitiveness. Finally, international development institutions like the World Bank or the IMF would benefit because they would gain insight into where to better allocate development funding to foster productive diversification.

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Duquette-Rury, L. (2015). *The 3x1 Program for Migrants and household access to public goods in Mexico*. UCLA eScholarship. <https://escholarship.org/uc/item/9pj9489x>

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Orozco, M., & Welle, K. (2004). *Hometown Associations and Development: Ownership, Sustainability, and Replicability*. Inter-American Development Bank (IADB), Washington, D.C.
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